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UNIVERSITY EXAMINATIONS 2017/2018

FIRST YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS AND AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 101: INTRODUCTION TO AGRIBUSINESS MANAGEMENT

Date: 21st February, 2018 Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other THREE

Question 1 **[25 marks]**

a) Clearly define the term agribusiness as used in contemporary Agriculture (2 marks)

b) Distinguish between smallholder farming and commercial farming (4 marks)

c) Agricultural Cooperative societies have played and continue to play a significant role in the development of the agribusiness sector in Kenya. Discuss giving relevant examples (5 marks)

d) Define the term "business ethics" and discuss its importance to the agribusiness industry. (4 marks)

e) State and explain the roles of Nairobi stock exchange in Kenya. (5 marks)

f) State and briefly explain any five principles of cooperatives (5 marks)

Question 2

a) Agribusiness is a source of livelihood and income to both the farming and non-farming communities. Justify. (5 marks)

b) In the recent past and currently, the Government of Kenya has been in the forefront in promoting agribusiness development. Discuss five strategies adopted by the government to promote the development of the agribusiness sector. (10 marks)

Question 3

Good management is critical for success of an agribusiness enterprise. Discuss the functions of management that are key for an agribusiness enterprise. (15 marks)

Question 4

a) Discuss the five main peculiarities of an agricultural produce (10 marks)

b) Agribusiness without technology is void. Discuss. (5 marks)

Question 5

a) State and explain five reasons why agribusiness experts are currently advocating for contract farming in Kenya. (10 Marks)

b) State and explain the roles of various government agencies in agribusiness development and promotion. (5 marks)

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MAIN CAMPUS

AAB 104: PRINCIPLES OF ANIMAL PRODUCTION

Date: 14th February, 2018 Time: 8.30 - 11.30 am

INSTRUCTIONS:

- Answer question ONE and any other THREE questions.

AAB 104 – PRINCIPLES OF ANIMAL PRODUCTION

STREAMS: Y1S1 BSc Agricultural economics, BSc Agribusiness management with IT
DAY: **TIME:** 3 HOURS

Instructions:

Answer question **ONE** and any other **THREE** questions.

Question 1

a) Differentiate the following terms as used in animal production:

i. Animal husbandry and animal production (2 marks)

ii. Creep feeding and flushing (2 marks)

iii. Breed and species (2 marks)

iv. Inbreeding and crossbreeding (2 marks)

v. Resistance and immunity (2 marks)

b) Explain briefly why intensive livestock production systems have become popular in the modern world. (7 marks)

c) Explain the challenges facing the agricultural sector as outlined in the Kenya Vision 2030. (8 marks)

Question 2

a) Discuss the factors that favour sheep and goat production in the tropics. (10 marks)

b) State and explain five factors to avoid when buying sheep and goats. (5 marks)

Question 3

a) State five adaptation features which distinguish camels from other livestock species. (5 marks)

b) Discuss the recycling of urea in camels. (5 marks)

c) Discuss feeding behaviour and feed preferences of camels. (5 marks)

Question 4

a) Describe the role of dairy farming in the Kenyan economy. (5 marks)

b) With the aid of a diagram, describe the lactation curve in dairy cattle. (10 marks)

Question 5

a) Enlist the various categories of advances in reproductive technologies (6 marks)

b) Discuss any one of the second generation reproductive technologies in details (9 marks)

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SECOND YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS AND AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 201: FINANCIAL ACCOUNTING I

Date: 20th February, 2018 Time:3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other THREE
- Show working in the answer booklet for award of full marks

Question 1

a) Explain the purposes for which control accounts are prepared. (5 marks)

b) Name and explain four types of errors which are not disclosed by the trial balance. (5 marks)

c) Explain the term "bank reconciliation" and state the reasons for its preparation. (5 marks)

d) State and explain various users of accounting information. (5 marks)

e) Explain various causes of depreciation. (5 marks)

Question 2

The following are extracts from the cashbook and the bank statement of Asembo Traders.

DR		Cashbook			CR
2012		Ksh	2012		Ksh
Dec 1	Balance b/d	1,740	Dec 8	A Dailey	349
Dec 7	J Map	88	Dec 15	R Mason	33
Dec 22	J Cream	73	Dec 28	G Small	115
Dec 31	K Wood	249	Dec 31	Balance c/d	1,831
Dec 31	M Barrett	178			
		2,328			2,328

Bank Statement

2012			Dr	Cr	Balance
			Kshs.	Kshs.	Kshs.
Dec	1	Balance b/d			1,740
Dec	7	Cheque		88	1,828
Dec	11	A Dailey	349		1,479
Dec	20	R Mason	33		1,446
Dec	22	Cheque		73	1,519
Dec	31	Credit transfer: J Walters		54	1,573
Dec	31	Bank charges	22		1,551

You are required to:

a) Write the cashbook up to date, and state the new balance as on 31 December 2012. (7 marks)

b) Draw up a bank reconciliation statement as on 31 December 2012. (8 marks)

Question 3

A cashier in a firm starts with Ksh 2,000 in the month of March (that is the cash float). In the following week, the following payments are made:

	Kshs.
1st March – bought stamps for	80
2nd March – paid bus fare for	120
2nd March – cleaning materials	240
3rd March – bought fuel	150
3rd March – cleaning wages	300
4th March – bought stamps	200
4th March – paid L. Thompson (creditor)	400
5th March – fuel costs	150

On the 5th of March the cashier requested for a refund of the cash spent and this amount was reimbursed back.

Required:

Prepare a detailed petty cash book showing the balance to be carried forward to the next period and the relevant expense accounts, as they would appear on the General Ledger.

(15 marks)

Question 4

On 31 December 2001, an inexperienced bookkeeper working for Wanji, a sole trader extracted a trial balance. Due to errors committed by the bookkeeper, the trial balance failed to balance by Ksh 369,400. He placed the difference in a suspense account as shown below:

Wanji trial balance as at 31 December 2001

	DR.	CR.
	Ksh	Ksh
Fixed assets – cost	832,000	
Stocks:		
1 January 2001	148,000	
31 December 2001		98,800
Trade debtors		76,000
Prepayments		10,000
Trade creditors	34,600	
Bank overdraft		15,200
Accruals		16,000
Drawings	359,600	
Capital		1,054,000
Sales	1,043,200	
Provision for depreciation		166,400
Purchases		733,000
Operating expenses	126,000	
Provision for doubtful debts		3,800
Discounts received	5,000	
Discounts allowed		5,800
Suspense account		369,400
	2,548,400	2,548,400

Investigations carried out after preparing the above trial balance detected the following errors:

1. The total of the sales daybook for December 2001 was overcast by Ksh 25,700.
2. On July 2001, the business purchased office equipment for Ksh 40,000. These were debited to purchases account. Depreciation on the equipment is at the rate of 10% per annum on cost and based on the period (months) of usage in the year.

3. A payment to a creditor by cheque of Ksh. 8,500 was erroneously credited to the creditor's account.
4. A payment of Ksh. 4,500 for telephone expenses was debited to telephone account as Ksh 5,400.
5. An amount of Ksh 15,000 received from a debtor was not posted to the debtor's account from the cashbook.
6. Purchases daybook for October 2001 was under cast by Ksh 28,000.

Assume the business had reported a net profit of Ksh 85,800 before adjusting for the above errors.

Required:

(a) The adjusted trial balance and the correct balance of the suspense account. (5 marks)

(b) Suspense account starting with the balance determined in the adjusted trial balance in (a) above. (5 marks)

(c) The adjusted net profit for the year. (5 marks)

Question 5

Masembe Traders drew up the following trial balance as at 30 September 2012.

	DR. (Kshs)	CR. (Kshs)
Capital		3,095,500
Drawings	842,000	
Cash at bank	311,500	
Cash in hand	29,500	
Debtors	1,230,000	
Creditors		937,000
Stock 30 September 2001	2,391,000	
Motor van	410,000	
Office equipment	625,000	
Sales		1,309,000
Purchases	9,210,000	
Returns inwards	55,000	
Carriage inwards	21,500	
Returns outwards		30,700
Carriage outwards	30,900	
Motor expenses	163,000	
Rent	297,000	
Telephone charges	40,500	
Wages and salaries	1,281,000	
Insurance	49,200	
Office expenses	137,700	
Sundry expenses	28,400	
	17,153,200	17,153,200

Required:

You are to draft the trading and profit and loss account for the year to end 30 September 2012 and a balance sheet as at that date. (15 marks)

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SECOND YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS AND AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 202: PRINCIPLES OF ENTREPRENEURSHIP

Date: 22nd February, 2018 Time:12.00 - 3.00pm

INSTRUCTIONS:

- Answer ALL Questions in Section A and any other TWO in Section B.

SECTION A [40 Marks]

Question 1

Define the term "entrepreneur" and elaborate key characteristics of an entrepreneur. (6 marks)

Question 2

Distinguish between pull and push factors that influence one's decision to become an entrepreneur. (10 marks)

Question 3

Suppose that three years from now you intend to graduate with a bachelor's degree in agriculture and venture into business. Explain the steps you would follow in identifying a viable business opportunity that suits your area of training. (9 marks)

Question 4

The entrepreneurial spirit of the people of Kenya is greatly responsible for economic development of the country. Explain why this statement is true. (5 marks)

Question 5

a) Differentiate between franchising and business incubation as used in entrepreneurship. (5 marks)

b) What are the advantages of franchising to an entrepreneur compared to using his own ideas to start a new venture? (5 marks)

SECTION B **[30 Marks]**

Question 6

What is a business plan? Briefly explain the main aspects that must be provided when one is developing a business plan for a proposed venture (15 marks)

Question 7

a) Kenyan graduates are increasingly venturing into business as opposed to seeking career jobs. Key contributor to this is enhancement of technology in the recent past. Explain how technology has favored entrepreneurial drive among young Kenyan graduates. Give case examples (7 marks)

b) Outline the importance of the following processes to an entrepreneur?

   i) E-Commerce (2 marks)

   ii) Business outsourcing (2 marks)

   iii) Trade fairs (2 marks)

   iv) Social responsibility (2 marks)

Question 8

a) National and certain local governments in Kenya have prioritized youth employment. Explain any <u>three</u> mechanisms through which the youth have been supported to venture into self-employment. (6 marks)

b) Most small enterprises normally have plans to grow their business over the years. Which growth strategies can such enterprises implement to achieve the desired increase in sales and profits? Explain (9 marks)

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THIRD YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS AND AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 301: FINANCIAL ACCOUNTING II

Date: 23rd February, 2018 Time:8.30 - 11.30am

INSTRUCTIONS:

- Answer Question ONE and any other THREE
- Show working in the answer booklet for award of full marks

Question 1

a) State and briefly explain any three distinguishing features between (i) a receipts and payments account and (ii) an income and expenditure account. (5 marks)

b) Explain the reasons why businesses have incomplete records. (5 marks)

c) Explain the main approaches in preparation of final accounts where there are insufficient records. (5 marks)

d) The use of accounting ratios has certain limitations. Explain (5 marks)

e) Explain reasons for the formation of partnerships (5 marks)

Question 2

Mary and Ann own a grocery shop. Their first financial year ended on 31 December 2012. The following balances were taken from the books on that date:

Capital:	A- Kshs.60,000;	B - Kshs.48,000.
Partnership salaries:	A - Kshs.9,000;	B - Kshs.6,000.
Drawings:	A - Kshs.12,000;	B - Kshs.13,400.

Additional information:

The firm's net profit for the year was Kshs.32,840.

Interest on capital is to be allowed at 10% per year.

Profits and losses are to be shared equally.

Required:

Prepare the firm's appropriation account and the partners' current accounts. (15 marks)

3. Depreciation on productive and accounting machinery at 10 per cent per annum on cost.

Required:

Prepare a manufacturing, Trading Profit and Loss Account for the year ended 31 December 2002. (15 marks)

Question 4

a) M Jones gives you the following information as at 30 June 2002

	Kshs.
Stock 1 July 2001	6,000
Purchases	54,000

Jones's mark-up is 50% on cost of goods sold. His average stock during the year was Kshs. 12,000.

i. Draw up a trading profit and loss account for the year ended 30 June 2002 and calculate the closing stock as at 30 June 2002. (5 marks)

ii. State the total amount of profit and loss expenditure Jones must not exceed if he is to maintain a net profit on sales of 10%. (5 marks)

b) W White's business has a rate of turnover of 7 times. Average stock is Kshs. 12,600. Trade discount (i.e. margin allowed) is 33¼% off all selling prices. Expenses are 66 ¾% of gross profit.

You are to calculate:

i. Cost of goods sold. (1 marks)
ii. Gross profit margin. (1 marks)
iii. Turnover. (1 marks)
iv. Total expenses. (1 marks)
v. Net profit. (1 marks)

Question 5

The balance sheet of Grand Limited, a wholesaler, at 31 December 1995 and 1996 were as follows:

	31 December1995		31 December1996	
	Kshs.000	Kshs.000	Kshs.000	Kshs.000
Tangible fixed assets				
Cost of valuation	126,300		162,400	
Aggregate depreciation	(50,000)	76,300	(64,000)	98,400
Current assets				
Stock	12,000		15,000	
Debtors	10,500		14,000	
Cash	1,400		2,000	
	23,900		31,000	
Current liabilities				
Trade creditors	6,800		9,400	
Corporation tax	3,400		5,000	
Proposed dividend	4,000		6,000	
	14,200		20,400	
Net current assets		9,700		10,600
		86,000		109,000
Loans (due for repayment 1999)		(60,000)		(60,000)
		26,000		49,000
Called up share capital		6,000		10,000
Share premium		1,000		3,000
Revaluation reserve		-		8,000
Profit and loss account		19,000		28,000
		26,000		49,000

The stock at 31 December 1994 was Kshs.10,000,000.

The summarized profit and loss accounts for the company for the years ended 31 December 1995 and 1996 were:

	Year ended 31 December	
	1995	1996
	Kshs.000	Kshs.000
Sales	64,000	108,000
Cost of sales	40,000	75,600
Gross profit	24,000	32,400
Expenses	10,000	12,400
Net profit before tax	14,000	20,000

Required:

a) Calculate the following accounting ratios for both years (Show you full workings):

   i) The gross profit percentage (1 marks)

   ii) The current ratio and the quick ratio (or acid test) (1 marks)

   iii) Debtors' collection period in days (1 marks)

   iv) Trade creditors' payment period in days (based on purchases figures which are to be calculated) (1 marks)

   v) Gearing ratio. (1 marks)

b) Explain what you can deduce from the ratios as at 31 December 1996 and from comparing them with those for 1995. (5 marks)

c) State whether you agree or disagree with the following statements and give brief reasons for your answers.

   i. The current ratio and quick ratio help to assess whether a company is able to meet its debts as they fall due. Therefore, the higher these ratios are the better placed the company is. (2.5 marks)

   ii. A high gearing ratio is advantageous to shareholders, because they benefit from the income produced by investing the money borrowed. (2.5 marks)

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FOURTH YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 401: MANAGEMENT ACCOUNTING I

Date: 14th February, 2018 Time: 8.30 - 11.30am

INSTRUCTIONS:

- Answer ALL Questions in Section A and any other TWO in Section B.

TIME: 3 HOURS

DAY:

Instructions:
Answer ALL questions in Section A and ANY TWO questions in Section B.

SECTION A: **[30 marks]**

Q1: (a) Mrs. Samantha Achieng Ojwang is a mango farmer and uses absorption costing to determine her operating income. She is in the process of planning for the next season and provides the following information for the period ending 31st December, 2017:

Projected mango harvest (Kg)	11,000
Projected quantity sales (Ksh 400 / kg)	8,500
Variable costs per kg	
Direct materials (Ksh)	80
Direct labour (Ksh)	120
Variable overhead (Ksh)	60
Fixed costs	
Fixed overhead per kg produced (Ksh)	40
Fixed selling and administrative (Ksh)	300,000

Required:
Prepare Mrs. Samantha Achieng Ojwang projected income statement for the period ending 31st December, 2017. (11 marks)

(b) Highlight 4 advantages of budgeting (4 marks)

Q2: (a) Differentiate between the following:

(i). Management accounting and financial accounting. (1.5 marks)

(ii). Accumulating costs and assigning costs (1.5 marks)

(iii). Cost object and cost driver (1.5 marks)

(iv). Period costs and expired costs (1.5 marks)

(v). Discretionary fixed costs and committed fixed costs (1.5 marks)

(vi). Activity-based costing and marginal costing (1.5 marks)

(b) Explain four (4) assumptions of Cost-Volume-Profit Analysis (6 marks)

SECTION B: [40 marks]

Q3: Maseno Dairy Cooperative Society produces yoghurt for the high-end markets. The Cooperative's management accountant treats electricity costs as mixed; a combination of fixed and variable costs. Quantity of yoghurt is the activity driver for electricity costs. The following data for the past eight months have been collected:

Month	Electricity cost (Ksh)	Quantity of yoghurt
1	8,255	4,600
2	8,485	5,000
3	9,100	6,000
4	8,300	4,700
5	8,312	4,700
6	7,575	3,500
7	8,910	5,700
8	9,200	5,900

Addition information:

i. Expected quantity of yoghurt on the 9th month is 6,100

ii. Selling price of a yoghurt is Ksh 80.00 per unit

iii. The Cooperative uses High-Low method.

Required:

(a) Draw up a contribution margin income statement for the Cooperative for the 9th month. (14 marks)

(b) What are the differences between services and tangible products? (6 Marks)

Q4. Use the following information to prepare a performance report using a budget based on expected production. (20 marks)

Relationships from the master budget		Actual data from Quarter 1	
(a) Budgeted production for Quarter 1:	1,060	Production	1,200 units
(b) Materials			
1 plain t-shirt @ Ksh 3.00		Materials cost	Ksh 4,380
5kg of ink @0.20			
(c) Labour			
0.12Hrs @ Ksh 10.00		Labour cost	Ksh 1,500
(d) Variable overhead			
Maintenance: 0.12Hrs @ Ksh 3.75		Maintenance cost	Ksh 535
Power: 0.12Hrs @ Ksh 1.25		Power cost	Ksh 170
(e) Fixed overhead			
Grounds keeping: Ksh 1,200 per quarter		Ground keeping	Ksh 1,050
Depreciation: Ksh 600 per quarter		Depreciation	Ksh 600

Q5. (a) Raphael Mwandoe Ltd has the following standards for one of its products;

Direct materials (5 cm @ Ksh 25)	Ksh 125
Direct labour (0.2 hr @ Ksh 100)	Ksh 20

During the most recent year, the following actual results were recorded;

Production	18,000 units
Direct materials (15,000 cm purchased and used)	Ksh 381,000
Direct labour (3,000 hrs)	Ksh 300,600

Required:

a) Compute the following variances;

i. Material price and usage variance,

ii. Labour rate and efficiency variance. (12 Marks)

b) Discuss how management accounting currently focuses on customer orientation. (8 marks)

Q6. Wafula Brian Ltd is a company that manufactures two products, kuku glory and kuku plain, which sells at Ksh 400 and Ksh 800 respectively. The company has targeted sales of 1200kg kuku glory and 800kg kuku plain. The company expects to incur the following costs:

Total Variable Costs:	Ksh
Kuku glory	390,000
Kuku plain	480,000
Direct fixed cost	
Kuku glory	30,000
Kuku plain	40,000
Common fixed cost	26,250

Required:

(a) Calculate break-even:

(i). Quantities of kuku glory and kuku plain, (10 marks)

(ii). Sales in shillings. (6 marks)

(b) If the total sales is to increase by 25%, calculate the expected operating income (4 marks)

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MAIN CAMPUS

AAB 404: OPERATIONS RESEARCH

Date: 19th February, 2018 Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other THREE
- Show working in the answer booklet for award of full marks
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END OF SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE WITH IT

AAB 404 – OPERATIONS RESEARCH

STREAMS: Y4S1 BSc Agricultural economics, BSc Agribusiness management with IT
DAY: **TIME:** 3 HOURS

Instructions:

- Answer question ONE and any other THREE questions
- Marks are shown at the end of each question
- Show working in the answer booklet for award of full marks
- Each question should begin on a fresh page.

Question 1

a) Explain the assumptions of linear programming (5 marks)

b) Describe the main reasons for using simulation (5 marks)

c) Explain the applications of linear programming method (5 marks)

d) State and explain the techniques of operations research (5 marks)

e) What are some of the limitations of operations research (5 marks)

Question 2

a) Outline the key assumptions of the transport model. (5 marks)

b) A corporation has three manufacturing plants shipping to three warehouses. Information on the production per plant (in thousands of units), requirement of the warehouse (in thousands of units), and shipping cost (in Kshs per unit) from each source to each warehouse is given below.

Plants	Production	Warehouse.	Requirements
P1	140	W1	180
P2	130	W2	140
P3	110	W3	70
	380		

The freight rate per unit from each plant to each warehouse is:

		W1	W2	W3
From	P1	1.80	1.40	1.60
	P2	2.00	1.80	2.60
	P3	1.40	1.20	3.20

Determine the initial basic feasible schedule using the following methods and compare the costs.

a) Least cost method (5 marks)

b) North West Corner Rule (5 marks)

Question 3

a) Explain the objectives of network analysis (5 marks)

b) A company has decided to redesign its electronic components. The project involves several activities which are listed in the following table, first the electronic engineering staff must finish the design of the component, second the marketing program for promoting the component must be developed, third a new manufacturing process must be designed, fourth advertising media must be selected; fifth an initial production run must be successfully completed and sixth, the component must be released to the market. Combine all the activities associated with the project into an integrated network of events and activities. (10 marks)

Activity	Description of activity	Predecessor activity
A	Finish component development	-
B	Design marketing programme	A
C	Design production system	A
D	Select advertising media	B
E	Initial production run	C
F	Release component to market	D,E

Question 4

a) Briefly explain the assumption of replacement decisions (5 marks)

b) A firm is using a machine whose purchase price is Ksh 13,000, the installation charges amount to Ksh 3,600 and the machine has a scrap value of only Ksh 1,600 because the firm has a monopoly of this type of work. The maintenance costs in various years are given in the following table.

Year	1	2	3	4	5	6	7	8	9
Cost [Kshs]	250	750	1000	1500	2100	2900	4000	4800	6000

Required:
Determine after how many years the machine should be replaced based on economic considerations. Assume that the machine replacement can only be done at the end of the year. (10 marks)

Question 5

a) Explain the modifications that are needed in an assignment problem when the objective is maximization instead of minimization. Use suitable examples. (5 marks)

b) A company employs service engineers based at various locations throughout the country to service and repair their equipment installed in customers' premises. Four requests for service have been received and the company finds the four engineers are available. The contribution to be gained from each of the engineers is given in the following table and the company wishes to assign engineers to customers to maximize their contributions. Calculate the contribution to be gained from the assignment.

(10 marks)

		Customers				
		W	**X**	**Y**	**Z**	
	Alfred	25	18	23	14	**Contributions to be gained**
	Bill	38	15	53	23	
	Charles	15	17	41	30	
Engineers	Dave	26	28	36	29	

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FOURTH YEAR FIRST SEMESTER EXAMINATIONS FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS AND BACHELOR OF SCIENCE IN AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 406: AGRICULTURAL AND INTERNATIONAL TRADE

Date: 15h February, 2018 Time: 3.30 - 6.30 pm

INSTRUCTIONS:

- Answer ALL questions in SECTION A and any TWO questions in SECTION B.

AAB 406 – AGRICULTURAL AND INTERNATIONAL TRADE

STREAMS: Y4S1 BSc Agricultural economics, BSc Agribusiness management with IT
DAY: **TIME:** 3 HOURS

Instructions:

Answer ALL questions in section A and any TWO questions in section B

SECTION A **[40 Marks]**

1. Write short notes on the following terminologies in international trade:
   a) Absolute advantage (2 marks)
   b) Autarky (2 marks)
   c) Trade embargoes (2 marks)
   d) Bilateral trade policy (2 marks)
   e) Balance of payment crisis (2 marks)
2. Illustrate and discuss the production possibility curve phenomena (6 marks)
3. Discuss briefly the Heckscher Ohlin theorem of international trade (5 marks)
4. Outline the uses of a trade policy in the Kenyan context (5 marks)
5. With the help of a diagram, explain the economic effect of a tariff on a trading country (6 marks)
6. Briefly explain the term exchange rate adjustment? (3 marks)
7. Explain how agricultural production may affect international trade? (5 marks)

SECTION B **[30 Marks]**

8. Discuss in details the agricultural policy in relation to international trade. (15 marks)
9. International trade is a sure means of economic development. Discuss giving relevant examples. (15 marks)
10. Exchange rates of any country are determined and affected by a number of factors. Discuss these factors in terms of priority. (15 marks)

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UNIVERSITY EXAMINATIONS 2017/2018

FOURTH YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS AND AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 408: MARKETING MANAGEMENT

Date: 20th February, 2018 Time: 8.30 - 11.30am

INSTRUCTIONS:

- Answer ALL Questions in Section A and any other TWO in Section B.

SECTION A [40 Marks]

1. Briefly explain the following terminologies as used in marketing.
   - a) Product concept (1.5 marks)
   - b) Internal data (1.5 marks)
   - c) Motivating (1.5 marks)
   - d) Product design (1.5 marks)
   - e) Segmented pricing (1.5 marks)
   - f) Strategic marketing plan (1.5 marks)
2. a) Explain the importance of marketing intelligence systems in an organization (5 marks)

   b) Describe the steps involved in the marketing research process (6 marks)
3. Outline the main objectives of advertising in marketing (6 marks)
4. What constitutes a sales promotion process (3 marks)
5. a) What are the functions of physical distribution (5 marks)

   b) Explain the various product mix pricing strategies, giving relevant examples. (6 marks)

SECTION B [30 Marks]

6. Discuss in detail the critical areas in marketing management. (15 marks)
7. Discuss the process of market planning citing relevant examples. (15 marks)
8. East African industries is a market leader in consumer products in Kenya. In your own opinion, what marketing strategies have they engaged in to maintain this position. Discuss (15 marks)

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